NOTE 10 – INCOME TAXES

The Company's Income tax expense (recovery) consisted of:

	Years ended November 30,		
	2014	2013	2012
Current:			
Canada	$ —	$ —	$ —
Foreign	189	290	—
	189	290	—
Deferred:			
Canada	74	3,606	(7,748)
Foreign	—	—	—
	74	3,606	(7,748)
Income tax expense (recovery)	$ 263	$ 3,896	$ (7,748)

The Company's Loss before income tax consisted of:

	Years ended November 30,		
	2014	2013	2012
Canada	$ (20,372)	$ (42,077)	$ 6,528
Foreign	(19,849)	(16,787)	(21,862)
	$ (40,221)	$ (58,864)	$ (15,334)

Effective January 1, 2012 the Canadian federal corporate tax rate decreased from 16.5% to 15%. Effective April 1, 2013 the British Columbia provincial corporate tax rate increased from 10% to 11%.

The Company's Income tax expense (recovery) differed from the amounts computed by applying the Canadian statutory corporate income tax rates for the following reasons:

	Years ended November 30,		
	2014	2013	2012
Loss before income taxes	$ (40,221)	$ (58,864)	$ (15,334)
Combined federal and provincial statutory tax rate	26.00%	25.67%	25.13%
Income tax recovery based on statutory income tax rates	(10,457)	(15,110)	(3,853)
Increase (decrease) attributable to:			
(Non-deductible) taxable expenditures	3,339	2,913	(3,717)
Non-taxable unrealized gain (loss) on derivative financial instruments	—	615	(9,253)
Effect of different statutory tax rates on earnings of subsidiaries	(3,027)	(2,773)	(3,471)
Effect of statutory rate change	—	(1,916)	54
Effect of tax losses expired	1,424	—	—
Change in valuation allowance	9,357	20,248	13,271
Other	(373)	(81)	(779)
Income tax expense (recovery)	$ 263	$ 3,896	$ (7,748)

Components of the Company's deferred income tax assets (liabilities) are as follows:

	At November 30,	
	2014	2013
Deferred tax income assets:		
Asset retirement obligation	$ 257	$ 354
Net operating loss carry forwards	214,594	215,346
Capital loss carry forwards	37,002	40,180
Mineral properties	19,524	20,278
Property and equipment	354	381
Investment in affiliates	42,343	40,200
Share issuance costs	1,327	2,168
Unpaid interest expense	4,458	5,947
Investment tax credit	3,429	3,553
Other	2,550	2,322
	325,838	330,729
Valuation allowances	(281,071)	(276,630)
	44,767	54,099
Deferred income tax liabilities:		
Convertible debt	—	(197)
Investment in affiliates	(42,176)	(51,601)
Mineral properties	(13,208)	(14,224)
Capitalized assets & other	(1,102)	(719)
Unrealized gain on investments	(5)	(19)
Investment tax credit	(882)	(914)
	(57,373)	(67,674)
Net deferred income tax liabilities	$ (12,606)	$ (13,575)
Net deferred income tax asset, as presented in the balance sheet	$ 11,445	$ 9,728
Net deferred income tax liability, as presented in the balance sheet	$ (24,051)	$ (23,303)

Net operating losses available to offset future taxable income are as follows:

Year of Expiry	U.S.	Canada
2015	$ —	$ 16,435
2024	1,032	—
2025	1,246	—
2026	13,382	28,594
2027	18,493	4,593
2028	85	606
2029	11,223	14,284
2030	10,916	20,551
2031	16,580	19,281
2032	306,333	33,780
2033	14,671	24,638
2034	16,203	17,359
	$ 410,164	$ 180,121

Future use of U.S. loss carry-forwards is subject to certain limitations under provisions of the Internal Revenue Code including limitations subject to Section 382, which relates to a 50% change in control over a three-year period, and are further dependent upon the Company attaining profitable operations. Ownership changes occurred on January 22, 2009 and on December 31, 2012 and the U.S. tax losses related to NOVAGOLD Resources Alaska Inc. and its investment in Donlin Creek LLC for the prior three

year periods prior to the change in control may be subject to limitation under Section 382. Accordingly, the Company's ability to use these losses may be limited or may expire un-utilized. Losses incurred to date may be further limited if a subsequent change in control occurs.

Uncertain Tax Position

There were no unrecognized tax benefits at November 30, 2014, 2013 and 2012. The Company recognizes any interest and penalties related to uncertain tax positions, if any, as interest expense. At November 30, 2014, 2013 and 2012, there were no interest and penalties related to uncertain tax positions. The Company is subject to income taxes in Canada and the United States. The Company is currently under audit by the Canada Revenue Agency regarding transactions undertaken by one of the Company's Canadian entities. The Company is currently not under audit by any other taxing jurisdiction. With few exceptions, the tax years that remain subject to examination as of November 30, 2014 are 2008 to 2014 in Canada and 1998 to 2014 in the United States.

The Company has recognized $11,445 (2013: $9,728, 2012: $15,679) of deferred tax assets that are dependent on the reversal of existing taxable temporary differences. In addition, the Company has suffered a loss in the current and prior period in the tax jurisdictions to which the deferred tax assets relate. The Company has undertaken a tax planning strategy in the current and prior period to merge their Canadian entities when required to access the deferred tax assets to offset future increases in taxable income of their Canadian entities.

Management assesses the available positive and negative evidence to estimate if sufficient future taxable income will be generated to use the existing deferred tax asset. Significant pieces of objective negative evidence evaluated included the cumulative loss incurred as at November 30, 2014 and the decline in metal prices. Such objective evidence limits the ability to consider other subjective evidence such as managements' projections for future growth. On the basis of this evaluation, as of November 30, 2014, a valuation allowance of $281,071 (2013: $276,630, 2012: $260,492) inclusive of valuation allowance for investment tax credits has been recorded in order to measure only the portion of the deferred tax asset that more likely than not will be realized. The amount of the deferred tax asset considered realizable; however, could be adjusted if estimates of future taxable income during the carry forward period are reduced or if objective negative evidence in the form of cumulative losses is no longer present and additional weight may be given to subjective evidence such as management's projections for growth.